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**Financial
Instruments**

**9 Months Ended
Jul. 01, 2023**

[Financial
Instruments
\[Abstract\]](#)

Financial Instruments

Cash, Cash Equivalents and Marketable Securities

The following tables show the Company's cash, cash equivalents and marketable securities by significant investment category as of July 1, 2023 and September 24, 2022 (in millions):

[Financial
Instruments](#)

July 1, 2023							
	Adjusted	Unrealized	Unrealized	Fair	Cash and	Current	Non-
	Cost	Gains	Losses	Value	Cash	Marketable	Current
					Equivalents	Securities	Marketable
							Securities
Cash	\$ 25,337	\$ —	\$ —	\$ 25,337	\$ 25,337	\$ —	\$ —
Level 1 ⁽¹⁾ :							
Money market funds	1,108	—	—	1,108	1,108	—	—
Mutual funds	366	15	(19)	362	—	362	—
Subtotal	1,474	15	(19)	1,470	1,108	362	—
Level 2 ⁽²⁾ :							
U.S. Treasury securities	22,274	—	(1,354)	20,920	—	8,076	12,844
U.S. agency securities	5,709	—	(594)	5,115	3	272	4,840
Non-U.S. government securities	17,588	19	(927)	16,680	—	11,262	5,418
Certificates of deposit and time deposits	2,315	—	—	2,315	1,960	355	—
Commercial paper	364	—	—	364	—	364	—
Corporate debt securities	79,621	22	(6,079)	73,564	—	13,005	60,559
Municipal securities	713	—	(23)	690	—	213	477
Mortgage- and asset-backed securities	22,383	4	(2,299)	20,088	—	165	19,923
Subtotal	150,967	45	(11,276)	139,736	1,963	33,712	104,061
Total ⁽³⁾	\$177,778	\$ 60	\$ (11,295)	\$166,543	\$ 28,408	\$ 34,074	\$ 104,061

September 24, 2022

	Adjusted	Unrealized	Unrealized	Fair	Cash and	Current	Non-
	Cost	Gains	Losses	Value	Cash	Marketable	Current
					Equivalents	Securities	Marketable
							Securities
Cash	\$ 18,546	\$ —	\$ —	\$ 18,546	\$ 18,546	\$ —	\$ —
Level 1 ⁽¹⁾ :							
Money market funds	2,929	—	—	2,929	2,929	—	—
Mutual funds	274	—	(47)	227	—	227	—
Subtotal	3,203	—	(47)	3,156	2,929	227	—
Level 2 ⁽²⁾ :							
U.S. Treasury securities	25,134	—	(1,725)	23,409	338	5,091	17,980
U.S. agency securities	5,823	—	(655)	5,168	—	240	4,928
Non-U.S. government securities	16,948	2	(1,201)	15,749	—	8,806	6,943
Certificates of deposit and time deposits	2,067	—	—	2,067	1,805	262	—
Commercial paper	718	—	—	718	28	690	—
Corporate debt securities	87,148	9	(7,707)	79,450	—	9,023	70,427
Municipal securities	921	—	(35)	886	—	266	620
Mortgage- and asset-backed securities	22,553	—	(2,593)	19,960	—	53	19,907
Subtotal	161,312	11	(13,916)	147,407	2,171	24,431	120,805
Total ⁽³⁾	\$183,061	\$ 11	\$ (13,963)	\$169,109	\$ 23,646	\$ 24,658	\$ 120,805

(1) Level 1 fair value estimates are based on quoted prices in active markets for identical assets or liabilities.

(2) Level 2 fair value estimates are based on observable inputs other than quoted prices in active markets for identical assets and liabilities, quoted prices for identical or similar

assets or liabilities in inactive markets, or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets or liabilities.

- (3) As of July 1, 2023 and September 24, 2022, total marketable securities included \$14.1 billion and \$12.7 billion, respectively, that were restricted from general use, related to the State Aid Decision (refer to Note 5, "Income Taxes") and other agreements.

The following table shows the fair value of the Company's non-current marketable debt securities, by contractual maturity, as of July 1, 2023 (in millions):

Due after 1 year through 5 years	\$ 76,267
Due after 5 years through 10 years	11,148
Due after 10 years	16,646
Total fair value	<u>\$ 104,061</u>

Derivative Instruments and Hedging

The Company may use derivative instruments to partially offset its business exposure to foreign exchange and interest rate risk. However, the Company may choose not to hedge certain exposures for a variety of reasons, including accounting considerations or the prohibitive economic cost of hedging particular exposures. There can be no assurance the hedges will offset more than a portion of the financial impact resulting from movements in foreign exchange or interest rates.

Foreign Exchange Risk

To protect gross margins from fluctuations in foreign currency exchange rates, the Company may enter into forward contracts, option contracts or other instruments, and may designate these instruments as cash flow hedges. The Company generally hedges portions of its forecasted foreign currency exposure associated with revenue and inventory purchases, typically for up to 12 months.

To protect the Company's foreign currency-denominated term debt or marketable securities from fluctuations in foreign currency exchange rates, the Company may enter into forward contracts, cross-currency swaps or other instruments. The Company designates these instruments as either cash flow or fair value hedges. As of July 1, 2023, the maximum length of time over which the Company is hedging its exposure to the variability in future cash flows for term debt-related foreign currency transactions is 19 years.

The Company may also enter into derivative instruments that are not designated as accounting hedges to protect gross margins from certain fluctuations in foreign currency exchange rates, as well as to offset a portion of the foreign currency exchange gains and losses generated by the remeasurement of certain assets and liabilities denominated in non-functional currencies.

Interest Rate Risk

To protect the Company's term debt or marketable securities from fluctuations in interest rates, the Company may enter into interest rate swaps, options or other instruments. The Company designates these instruments as either cash flow or fair value hedges.

The notional amounts of the Company's outstanding derivative instruments as of July 1, 2023 and September 24, 2022 were as follows (in millions):

	July 1, 2023	September 24, 2022
Derivative instruments designated as accounting hedges:		
Foreign exchange contracts	\$ 45,425	\$ 102,670
Interest rate contracts	\$ 19,375	\$ 20,125
Derivative instruments not designated as accounting hedges:		
Foreign exchange contracts	\$ 90,977	\$ 185,381

The gross fair values of the Company's derivative assets and liabilities as of September 24, 2022 were as follows (in millions):

	September 24, 2022			
	Fair Value of Derivatives Designated as Accounting Hedges	Fair Value of Derivatives Not Designated as Accounting Hedges	Total Fair Value	
Derivative assets ⁽¹⁾ :				
Foreign exchange contracts	\$ 4,317	\$ 2,819	\$	7,136
Derivative liabilities ⁽²⁾ :				
Foreign exchange contracts	\$ 2,205	\$ 2,547	\$	4,752
Interest rate contracts	\$ 1,367	\$ —	\$	1,367

(1) Derivative assets are measured using Level 2 fair value inputs and are included in other current assets and other non-current assets in the Condensed Consolidated Balance Sheet.

(2) Derivative liabilities are measured using Level 2 fair value inputs and are included in other current liabilities and other non-current liabilities in the Condensed Consolidated Balance Sheet.

The derivative assets above represent the Company's gross credit exposure if all counterparties failed to perform. To mitigate credit risk, the Company generally enters into collateral security arrangements that provide for collateral to be received or posted when the net fair values of certain derivatives fluctuate from contractually established thresholds. To further limit credit risk, the Company generally enters into master netting arrangements with the respective counterparties to the Company's derivative contracts, under which the Company is allowed to settle transactions with a single net amount payable by one party to the other. As of September 24, 2022, the potential effects of these rights of set-off associated with the Company's derivative contracts, including the effects of collateral, would be a reduction to both derivative assets and derivative liabilities of \$7.8 billion, resulting in a net derivative asset of \$412 million.

The carrying amounts of the Company's hedged items in fair value hedges as of July 1, 2023 and September 24, 2022 were as follows (in millions):

	July 1, 2023	September 24, 2022
Hedged assets/(liabilities):		
Current and non-current marketable securities	\$ 14,863	\$ 13,378
Current and non-current term debt	\$ (17,986)	\$ (18,739)

Accounts Receivable

Trade Receivables

The Company has considerable trade receivables outstanding with its third-party cellular network carriers, wholesalers, retailers, resellers, small and mid-sized businesses and education, enterprise and government customers. The Company generally does not require collateral from its customers; however, the Company will require collateral or third-party credit support in certain instances to limit credit risk. In addition, when possible, the Company attempts to limit credit risk on trade receivables with credit insurance for certain customers or by requiring third-party financing, loans or leases to support credit exposure. These credit-financing arrangements are directly between the third-party financing company and the end customer. As such, the Company generally does not assume any recourse or credit risk sharing related to any of these arrangements.

As of September 24, 2022, the Company had one customer that represented 10% or more of total trade receivables, which accounted for 10%. The Company's cellular network carriers accounted for 44% of total trade receivables as of September 24, 2022.

Vendor Non-Trade Receivables

The Company has non-trade receivables from certain of its manufacturing vendors resulting from the sale of components to these vendors who manufacture subassemblies or assemble final products for the Company. The Company purchases these components directly from suppliers. As of July 1, 2023, the Company had two vendors that individually represented 10% or more of total vendor non-trade receivables, which accounted for 54% and 14%. As of September 24, 2022, the Company had two vendors that individually represented 10% or more of total vendor non-trade receivables, which accounted for 54% and 13%.